

SPECIAL SESSION OF THE DISPUTE SETTLEMENT BODY

Revision

The following communication is circulated at the request of the delegations of Argentina, Brazil, Canada, India, New Zealand and Norway.

Sequencing

Article 21.5

- (a) Where there is disagreement as to the existence or consistency with a covered agreement of any measure taken to comply with the recommendations and rulings of the DSB, such disagreement shall be decided through recourse to these dispute settlement procedures as modified by this paragraph.
- (b) Any party to a dispute may request the establishment of a panel to resolve such disagreement.¹ This panel shall be composed of the members of the original panel, unless one or more members are not available.²
- [(c) Consultations are not required for these procedures.]
- (d) The panel shall circulate its report within 90 days after the date of its establishment. When the panel considers that it cannot circulate its report within this timeframe, it shall inform the DSB in writing of the reasons for the delay together with an estimate of the period within which it will circulate its report.
- (e) The Member concerned shall not have an additional reasonable period of time to comply with the recommendations and rulings.

Article 22.2

If the Member concerned fails to bring the measure found to be inconsistent with a covered agreement into compliance therewith or otherwise comply with the recommendations and rulings either immediately or within the reasonable period of time determined pursuant to paragraph 3 of Article 21, such Member shall, if the complaining party so requests, enter into negotiations within ten days of such request, with a view to developing mutually acceptable compensation.

Article 22.2 bis

A complaining party may request authorization from the DSB to suspend the application to the Member concerned of concessions or other obligations under the covered agreements only where:

- (a) the Member concerned does not inform the DSB, within the timeframe of paragraph 3 first sentence of Article 21, that it intends to comply with the recommendations and rulings of the DSB;
- (b) the Member concerned informs the DSB that it does not intend to comply with the recommendations and rulings of the DSB;
- (c) within twenty days after the end of the reasonable period of time, the Member concerned does not inform the DSB that it has complied; or

¹ The DSB shall establish a panel at the first meeting at which the request is made, unless at that meeting the DSB decides by consensus not to establish a panel.

² If any member of the original panel is not available, the Director-General shall appoint a replacement within 7 days after the date of establishment of the compliance panel, after consulting with the parties.

(d) the DSB rules, pursuant to proceedings under paragraph 5 of Article 21 in respect of such complaining party, that the Member concerned has failed to bring itself into compliance with the recommendations and rulings of the DSB.

Article 22.6

(a) When any of the situations described in paragraph 2 *bis* occurs, the DSB, upon request, shall grant authorization to suspend concessions or other obligations, unless the DSB decides by consensus to reject the request. However, if the Member concerned objects to the level of suspension proposed, or claims that the principles and procedures set forth in paragraph 3 have not been followed where a complaining party has requested authorization to suspend concessions or other obligations pursuant to paragraph 3(b) or (c), the matter shall be referred to arbitration.

(b) Such arbitration shall be carried out by the original panel, if members are available, or by an arbitrator appointed by the Director General and shall be completed within 60 days of the appointment of the arbitrator. A complaining party may not suspend concessions or other obligations during the course of the arbitration.

Referral procedure (Remand)

Article 17.12

- (a) The Appellate Body shall address each of the issues raised in accordance with paragraph 6 during the appellate proceeding.
- (b) Where the Appellate Body finds that the panel report does not provide a sufficient factual basis to complete the analysis with respect to certain issues, it shall in its report provide a detailed description of the types of findings that are required to complete the analysis with respect to those issues.
- (c) In such a case, a party to the dispute may request that one or more of those issues be referred to the original panel, in accordance with the provisions of Article 17 *bis*.
- (d) Nothing in this paragraph or Article 17 *bis* affects the adoption of panel and Appellate Body reports and the implementation of the recommendations and rulings of the DSB.

Article 17 bis

Referral Procedure

1. A party to the dispute may request, no later than 30 days after the adoption of the Appellate Body report, that the DSB establish a panel to consider any issues with respect to which the Appellate Body has found that there is not a sufficient factual basis to complete the analysis, pursuant to Article 17.12.
2. The party to the dispute shall make the request in writing and shall, in the request, identify the specific issues it seeks to have addressed by the panel as well as relevant paragraphs in the Appellate Body report.
3. The DSB shall establish a panel at the first meeting at which the request appears, unless it decides by consensus not to do so, but only after the Appellate Body report has been adopted.³
4. Wherever possible, the panel shall be composed of the members of the original panel.⁴
5. The panel may examine only those issues with respect to which the Appellate Body has expressly found that there is not a sufficient factual basis to complete the analysis, and that the party to the dispute has identified in accordance with paragraph 2.
6. The panel shall make such findings and recommendations, in accordance with the guidance provided by the Appellate Body pursuant to paragraph 12 of Article 17, as will assist the DSB in making its rulings and recommendations.
7. As a general rule, the panel shall circulate its report within 90 days after the date of referral of the matter to it. However, in recognition of the need for flexibility in resolving issues that are referred

³ If the party to the dispute so requests, a meeting of the DSB shall be convened for this purpose within 15 days of the request, provided that at least 10 days' advance notice of the meeting is given. The request for the establishment of a panel may be considered at the same meeting at which the Appellate Body report is adopted.

⁴ If any member of the original panel is not available, the Director General shall appoint a replacement within 7 days after the date of the establishment of the panel, after consulting the parties to the dispute.

pursuant to Article 17 *bis*, the panel may modify and simplify its working procedures, after consulting the parties to the dispute.

8. If a party appeals the report of the panel, Article 17 and Article 17 *bis* apply to Appellate Body proceedings and the adoption of the Appellate Body report.

Post-retaliation

Article 22.8

(a) The suspension of concessions or other obligations shall be temporary and shall only be applied until such time as the measure found to be inconsistent with a covered agreement has been removed, or the Member that must implement recommendations or rulings provides a solution to the nullification or impairment of benefits, or a mutually satisfactory solution is reached.

(b) Where the DSB has authorized the suspension of concessions or other obligations against a Member and there is a subsequent disagreement as to the existence or consistency with a covered agreement of a measure taken to comply with the recommendations and rulings of the DSB, the Member concerned may have recourse to the procedures of Article 21.5 as modified by this paragraph. In such a case:

(i) in its request for the establishment of a panel, the Member concerned shall set out the specific measures taken to comply, the text of these measures, and a factual and legal description of how these measures bring the Member into compliance with the recommendations and rulings of the DSB;

(ii) where a Member that has been authorized to suspend concessions or other obligations considers that a measure taken to comply is inconsistent with any other provision of the covered agreements, or that the Member concerned has otherwise not brought itself into compliance with the recommendations and rulings of the DSB, it may submit to the DSB, no later than [xx days] of the establishment of a panel, a notice setting out any additional measure taken to comply and a brief summary of the legal basis for its disagreement with the Member concerned; and

(iii) for the purposes of these proceedings, the word "document" in the terms of reference of the panel under paragraph 1 of Article 7 comprises the request for the establishment of the panel and the notice submitted under this provision.

(c) Where, following these proceedings, the DSB:

(i) rules that the measure taken to comply is not inconsistent with the provisions in question or otherwise brings the Member concerned into compliance with the recommendations and rulings of the DSB, on the request of the Member concerned, the DSB shall withdraw that authorization, unless it decides by consensus not to do so;

(ii) does not rule that the Member concerned is in compliance with the recommendations and rulings of the DSB, notwithstanding paragraph 7 of Article 22, fifth sentence, a party to the dispute may refer the matter to arbitration pursuant to paragraph 6 of Article 22. The Arbitrator may determine a new level of suspension or make findings, as appropriate, under paragraph 3 of Article 22. The Arbitrator shall inform the DSB promptly of its decision. Upon the request of a party to the dispute, the DSB shall modify the authorization to suspend concessions or other obligations consistently with the decision of the Arbitrator, unless the DSB decides by consensus to reject the request.

(d) The existing authorization to suspend concessions or other obligations remains in effect until, pursuant to paragraph (c), the DSB withdraws or modifies that authorization.

(e) In accordance with paragraph 6 of Article 21, the DSB shall continue to keep under surveillance the implementation of adopted recommendations or rulings, including those cases where compensation has been provided or concessions or other obligations have been suspended but the recommendations to bring a measure into conformity with the covered agreements have not been implemented.

(f) Upon the request of a party to the dispute, the DSB may at any point withdraw or modify an authorization.
